

short—either by word or deed—no matter how high the quotation may seem.*
_

Pair 5: International Flavors & Fragrances (Flavors, etc., for Other Businesses) and International Harvester Co. (Truck Manufacturer, Farm Machinery, Construction Machinery)

This comparison should carry more than one surprise. Everyone knows of International Harvester, one of the 30 giants in the Dow Jones Industrial Average.[†] How many of our readers have even heard of International Flavors & Fragrances, next-door neighbor to Harvester on the New York Stock Exchange list? Yet, *mirabile dictu*, IFF was actually selling at the end of 1969 for a higher aggregate market value than Harvester—\$747 million versus \$710 million. This is the more amazing when one reflects that Harvester had 17 times the stock capital of Flavors and 27 times the annual sales. Infact, only three years before, the *net earnings* of Harvester had been larger than the 1969 *sales* of Flavors! How did these extraordinary disparities develop? The answer lies in the two magic words: profitability and growth. Flavors made a remarkable showing in both categories, while Harvester left everything to be desired.

TABLE 18-5. Pair 5.